

MORNING BRIEFING — FRIDAY 21 AUGUST 2026

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2. IMPORTANT NEWS

Walmart beats and raises guidance but shares sink ~9% on the weakest US comparable-sales growth in about six years

[Yahoo Finance](#) / [Investing.com](#) / [TheStreet](#) / [Fool.com](#) / [Schaeffer's Research](#) • Thu 20 Aug

Walmart posted Q2 EPS of \$0.81 versus \$0.74 expected, revenue of \$187.9bn versus \$186.75bn expected, and lifted FY27 comp-sales guidance to 4-5% from 3.5-4.5% — yet shares fell roughly 9% (from ~\$114 to ~\$104) after US comparable sales grew just 2.6% against ~3.8% consensus, the slowest pace in around six years, with management flagging price cuts to defend market share. The read-through hit European retailers directly: Adidas fell 2.7% and Puma 1.8% on the DAX Thursday. A live consumer-spending caution signal into today's European open.

Treasury's doubled buyback plan proves only a brief "circuit breaker": bond yields snap back, dragging Wall Street lower

[CNBC](#) / [Bloomberg](#) / [Axios](#) / [US Treasury](#) • Wed-Thu 19-20 Aug

Wednesday's announcement that the Treasury would more than double long-dated buyback operations (10-20yr and 20-30yr, to at least \$4bn per operation, effective 9 September-4 November) briefly rallied bonds, pulling the 30-year yield down to ~5.20% from a 19-year high of 5.337%. The relief faded by Thursday's close: the 30-year added back roughly 6bp to ~5.25% and the 10-year erased its gains to close near 4.70%. Bloomberg characterised the buyback as "at best a circuit breaker" rather than a structural fix. The renewed rise in yields was the dominant driver of Thursday's US equity selloff and is the key overhang into today's European and US sessions.

Oil extends its climb as Trump threatens "the most crushing economic operation ever taken against any country" on Iran

[CNBC](#) / [Energy Connects](#) • Thu 20 Aug

Brent rose roughly 2% to around \$93.5/bbl and WTI gained about 2.5% toward \$87-88/bbl as Trump escalated rhetoric against Iran and Treasury Secretary Bessent said he would detail a fresh economic-warfare plan against Tehran on Monday. Energy was the standout outperforming sector in both the US and European sessions Thursday, while the inflation-risk implications kept pressure on bond yields. Keeps the Strait of Hormuz-linked oil and shipping risk premium firmly in play into the weekend.

Chip-stock rout deepens: Nvidia sheds as much as \$153bn in market cap in a session, selloff pressure bleeds into Asia

[24/7 Wall St](#) / [Intellectia.ai](#) / [Korea Economic Daily](#) • Wed-Thu 19-20 Aug, overnight into Fri 21 Aug

AMD fell more than 4% below \$500 and Intel fell 4% Thursday as the Philadelphia Semiconductor Index posted its steepest three-day decline since March. The weakness spread into the Friday Asian session, pressuring SK Hynix and Samsung, though SK Hynix's newly announced roughly 40 trillion KRW shareholder-return/buyback plan (19 Aug) cushioned some of the Korean chip-sector damage. A live swing factor for European chip-equipment names (ASML, ASM International, BE Semiconductor) at today's open.

Bitcoin surges past \$75,000 in a stark risk-on divergence from the equity and bond selloff

[Bloomberg](#) / [CCN](#) / [Yahoo Finance](#) • [Wed-Fri 19-21 Aug](#)

Bitcoin jumped roughly 11.5% Wednesday to about \$71,800 and continued climbing past \$75,000 by Friday midday in Singapore trading, up almost 20% on the week — its best weekly gain since March 2024 if it holds. Drivers cited include the SEC's 18 August proposed crypto-rule clarity (a conditional safe harbour for token offerings), short-covering, and a broader search for a Fed-cut/inflation-hedge trade. A notable cross-asset anomaly against Thursday's rates-led equity risk-off tone, worth watching for spillover into risk sentiment more broadly.

3. EUROPEAN FUTURES (PRE-OPEN)

CONTRACT	LEVEL	IMPLIED MOVE	COLLECTION TIME
Euro Stoxx 50 futures (FESX)	n/a — no reliably-dated Friday pre-open print confirmed via open sources	Directional bias lower, tracking Thursday's Wall Street reversal and firmer bond yields	05:20-06:45 BST
DAX futures (FDAX)	n/a — not found via open sources for today	Lower open indicated, per general market-open commentary	05:20-06:45 BST
CAC 40 futures (FCE)	n/a — not found via open sources for today	Lower open indicated, per general market-open commentary	05:20-06:45 BST
FTSE 100 futures (Z)	n/a — not found via open sources for today	Lower open indicated, per general market-open commentary	05:20-06:45 BST
US context — futures pre-market			
S&P 500 e-mini	ES ~−0.88% per one lower-tier, single-sourced aggregator (unverified, could not cross-reference)	Tracking Thursday's cash close (S&P −0.87%)	05:20-06:45 BST
Nasdaq 100 e-mini	NQ ~−0.79% per the same unverified single source	Chip-sector weakness (Intel/AMD/Nvidia Thu) the key drag	05:20-06:45 BST

Clean, cross-referenced pre-open futures prints for the Euro Stoxx 50, DAX, CAC and FTSE could not be confirmed via open web access this morning — treat this section as directional context only. The backdrop argues for a lower European open: Wall Street reversed sharply lower Thursday (S&P 500 −0.87%, Dow −1.32%, Nasdaq −1.0%) as the brief relief from the Treasury's buyback announcement faded and long-end yields snapped back (30-year ~5.25%, 10-year ~4.70%). Walmart's weak US comps and the deepening chip-stock rout add further caution. The offsetting factor is Thursday's already-soft European close (DAX −0.41%, Stoxx 600 −0.1%), which may limit the scale of today's follow-through decline. A single low-confidence US-futures source (unverified against a second outlet) points to a roughly 0.8-0.9% lower US futures indication; treat with caution pending a live-terminal check.

4. LAST TRADING SESSION'S CLOSES — EUROPEAN INDICES (THURSDAY 20 AUGUST 2026)

INDEX	CLOSE	CHANGE
Euro Stoxx 50	n/a — precise Thursday close could not be confirmed via open sources	Proxy: Stoxx Europe 600 closed −0.1% at 650.23
DAX 40	25,983	−0.41% (−108 pts) — lowest close since 31 July, fourth straight losing session
CAC 40	n/a precise point — last confirmed level 8,502 (19 Aug)	−0.57% to −0.73% (sources vary on magnitude, both show a decline)
FTSE 100	~10,748-10,758 (sources vary)	~+0.04% (+4.81 pts), essentially flat after a late-session push from negative territory

European indices were mixed-to-softer on Thursday as higher oil prices and the reversal in bond yields outweighed any lingering relief from Wednesday's Treasury buyback announcement. The DAX underperformed, weighed by Walmart-linked retail weakness (Adidas −2.7%, Puma −1.8%) and softness in industrials/defense (MTU Aero Engines −2%, Scout24 −1.9%, Rheinmetall −1.7%, Airbus −1.5%, Deutsche Telekom −1.4%), partly offset by gains in Qiagen (+3.1%) and Symrise (+1.9%). The FTSE 100 was the relative outperformer, helped by commodity-linked names (Weir +1.36%, Babcock International +1.02%, United Utilities +0.82%), though JD Sports Fashion collapsed roughly 14-15% on a guidance cut, the index's single biggest drag. At the pan-European level, the Stoxx 600 fell a modest 0.1%, with healthcare the only sector materially higher (+0.3%) and miners (−0.9%) and travel/leisure (−0.6%) the laggards. Today's open should track the subsequent Wall Street reversal lower; exact CAC and Euro Stoxx 50 closing points carry cross-source uncertainty and should be verified against a live terminal.

5. US MARKETS — LAST SESSION (THURSDAY 20 AUGUST 2026)

INDEX	CLOSE	CHANGE	NOTE
S&P 500	7,641.16	−0.87%	Down ~1.9% for the week
Dow Jones Industrial Average	52,759.21	−1.32% (−703.84 pts)	Steepest one-day drop of the week
Nasdaq Composite	26,067.17	−1.0%	Down ~2.5% for the week, led lower by chip names

Wall Street reversed sharply lower Thursday in a "good news is bad news" session: the early relief from Wednesday's Treasury buyback announcement faded as the 30-year Treasury yield climbed back toward 5.25% and the 10-year closed near 4.70%, while Trump's Iran rhetoric added an oil-driven inflation angle.

Leading sector: Energy, as Brent and WTI both rose roughly 2-2.5% on escalating Iran tensions. **Lagging sectors:** Consumer staples and discretionary led the market lower after Walmart fell ~9% despite beating and raising guidance, dragging peer retailers; technology and semiconductors were also weak, with Nvidia shedding as much as \$153bn in market cap intraday, AMD and Intel each down about 4%, and the Philadelphia Semiconductor Index posting its steepest three-day decline since March.

Key takeaway: the VIX closed a notably low ~14.89 despite the drawdown, consistent with a narrative of index-level stress rather than broad-based panic. The S&P 500 is now down roughly 1.9% and the Nasdaq roughly 2.5% for the week, on pace to snap a three-week winning streak. The Treasury's buyback move looks, per Bloomberg's framing, like "at best a circuit breaker" rather than a durable fix for elevated long-end yields — keeping the rates-led risk-off tone as the dominant theme into today's session and next week's Jackson Hole symposium.

6. ASIAN MARKETS — OVERNIGHT SESSION (FRIDAY 21 AUGUST 2026)

INDEX	LEVEL	CHANGE
Nikkei 225	Opened -1.11% at 65,484.91; pared losses through the morning to roughly -0.3% to -0.8% (range reflects genuine intraday move plus source variance); Thu 20 Aug close was 66,118 ($+1.21\%$)	Lower, tracking Thursday's Wall Street reversal
Kospi (South Korea)	Opened -1.35% at 6,759.95, trimmed to -0.23% at 6,836.97 by 10:00 local; Thu 20 Aug close was $\sim 6,977.94$ ($+2.42\%$); Kosdaq opened -2.00% at 824.05	Lower but cushioned by SK Hynix ($+3.7\%$ intraday) and Samsung ($+0.55\%$) on buyback-driven demand
Hang Seng	n/a for Friday morning — conflicting/unverifiable snippets; Thu 20 Aug close was 25,698 ($+0.8\%$)	Broader Asia-Pacific commentary points to a softer bias, not independently confirmed
Shanghai Composite	n/a for Friday morning — conflicting/unverifiable snippets; Thu 20 Aug close was 3,904 ($+0.24\%$)	Not independently confirmed

Asia-Pacific markets turned broadly risk-off in Friday morning trade, tracking Thursday's Wall Street reversal (yields back up, oil higher) after Thursday's own session had rallied on the Treasury buyback relief. The Nikkei opened down about 1.1% before paring losses through the morning; the ASX 200 fell 0.21%. The Kospi and Kosdaq both opened down more than 1%, but South Korean chipmakers provided a notable idiosyncratic offset — SK Hynix and Samsung both firmer intraday on buyback-driven demand following SK Hynix's roughly 40 trillion KRW shareholder-return plan announced Tuesday — limiting the Kospi's downside relative to regional peers. Hang Seng and Shanghai Composite levels for Friday morning could not be reliably confirmed via open sources; qualitative commentary suggests a similar softening bias but this is not independently verified. Bitcoin's surge past \$75,000 in Asian trading was the other notable divergence from the region's broader risk-off tone. Net: a soft, cautious handoff into today's European open.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	TIME
Brent (ICE, USD/bbl)	~\$93.0-93.5	+1.5% to +2% d/d, on escalating Iran rhetoric and fading hopes of a Strait of Hormuz resolution	Thu 20 Aug close
WTI (NYMEX, USD/bbl)	~\$86.2-88.0 (cross-source range: Trading Economics \$86.16, a second source cited ~\$87.94)	+2% to +2.5% d/d	Thu 20 Aug close
Gold (XAU/USD, USD/oz)	~\$4,515-4,533	+~4% intraday Thu, above \$4,500 for the first time since early June, on the Treasury-buyback-driven yield drop plus existing Iran-linked haven demand	Thu 20 Aug close
Natural gas (Henry Hub, USD/MMBtu)	n/a — conflicting sources (\$2.79 vs \$3.29), neither reliably dated to this week	—	—
Natural gas (European TTF, EUR/MWh)	€65.33	+3.07% d/d, +9.4% over the month, +97% y/y, on geopolitical risk, storage concerns and Hormuz-linked winter supply-crunch fears	Thu 20 Aug
Copper (COMEX, USD/lb)	\$6.46	−0.40% d/d, but +45.5% y/y; tight supply (Chile 2026 guidance cut ~2.6%) provides a floor despite the modest daily pullback	Thu 20 Aug

Oil extended its climb Thursday as Trump escalated rhetoric against Iran, threatening the "most crushing economic operation ever taken against any country," with Bessent flagging a fuller economic-warfare plan due Monday — Brent pushed to the low-\$93s and WTI toward the upper-\$80s (cross-source figures vary by roughly \$1-2). Gold's jump above \$4,500/oz was driven primarily by the Treasury buyback announcement sinking bond yields (a duration/safe-haven trade), compounding existing Iran-driven haven demand; this is its highest level since early June. European TTF gas continued higher on the same geopolitical and storage-concern backdrop, up nearly 10% over the month and roughly doubling year-on-year. Copper eased modestly on the day but remains near multi-year highs on tight Chilean supply, continuing to support European and UK-listed miners despite the daily pullback. Henry Hub gas could not be reliably pinned to a current print this week.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	TIME
US Treasury 10-year	~4.70-4.72%	Erased Wednesday's buyback-driven gains to close near 4.70% Thursday; +1bp indicated Friday	Thu 20 Aug close / Fri 21 Aug indication
US Treasury 30-year	~5.21-5.25%	Sharp round-trip: fell to ~5.21% intraday Thu on the buyback news (from a 19-year high of 5.337% mid-week), then added ~6bp back to close ~5.25%	Thu 20 Aug close
German Bund 10-year	~3.25-3.27%	Highest level since May 2011, up ~13bp over 4 weeks, on fading hopes of a quick Iran resolution reviving inflation concerns	Thu 20 Aug
EUR/USD	~1.168	Three-month high, tracking the broad G10 dollar-weakness move following the Treasury buyback announcement	Thu 20 Aug
GBP/USD	~1.3628	Up from a 13 Aug low of 1.34785; previous close 1.3606, day range 1.3594-1.3660	Thu 20 Aug
DXY (ICE Dollar Index)	~98.76-98.89	Roughly three-month low, broke below the 99 handle for the first time since late May; -2.39% over the month	Thu 20 Aug

The dominant rates/FX story remains the US Treasury's doubled long-dated buyback programme: the initial reaction (bond rally, dollar selloff, DXY sub-99, EUR/USD to 1.168, gold above \$4,500) proved short-lived, with Treasuries paring most of the rally by Thursday's close as traders judged the move a temporary circuit-breaker rather than a structural fix — 30-year yields ended roughly back near 5.25% and drifted higher again into Friday's Asian session. Layered on top, unresolved Iran/Strait of Hormuz tensions are simultaneously pushing energy prices and Bund yields higher via an inflation-risk channel while supporting haven flows into gold. September Fed easing remains priced at roughly 85% probability for a 25bp cut per one market-pricing summary, with next week's Jackson Hole symposium (27-29 August) — featuring new Fed Chair Kevin Warsh's first keynote on 28 August — the next major catalyst for the rates complex.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (WEEK OF 17-21 AUGUST 2026; SPECIFIC THURSDAY 20 AUG PRINTS COULD NOT BE ISOLATED)

ISSUER	CURRENCY	SIZE	MATURITY	COUPON/SPREAD	NOTES
Republic of Finland	EUR	€4bn	15 Apr 2033 (7yr)	MS+15bp	SSA. Priced Wed 19 Aug; book >€11bn from 120 investors (~2.75x covered). Leads: BNP Paribas, BofA Securities, Danske Bank, Deutsche Bank, J.P. Morgan
Sika AG	EUR	€1bn (2 tranches)	30NC5.75yr / 30NC8.75yr	4.375% (yield 4.500%) / 4.875% (yield 5.000%)	Corporate hybrid, 50% S&P equity credit. Announced 19 Aug. Bookrunners Citigroup, BofA Securities, UBS
Mizuho Financial Group	EUR	n/a — issuer confirmed among the week's names, tranche/spread not sourced	n/a	n/a	FIG. Part of the week's ~€38.3-38.5bn record post-summer supply
AS LHV Group	EUR	€200m	4yr	n/a spread	Estonian FIG, senior unsecured, priced 19 Aug. Rated Baa2 (positive outlook)
Fedrigoni	EUR	€665m	2033	n/a coupon	HY. Senior secured FRN, refinancing; exact pricing date within August not pinned down precisely

PIPELINE / EXPECTED TODAY AND THIS WEEK

Euro primary is described by Bloomberg as "roaring back from the summer lull at the fastest pace on record," with week-of-17-21-August volumes of at least €38.3-38.5bn — the busiest restart from summer on record. Euro covered bonds remain the exception: the segment is still effectively shut after seven consecutive weeks without issuance, with GlobalCapital analysts expecting the first post-summer print within the next two weeks. No specific mandate or rumoured name was confirmed for today via open sources. In the US, \$56bn of new IG issuance from 37 issuers priced this week, with spreads over Treasuries holding near 79bp, though issuers reportedly needed to offer slightly better pricing (wider concessions) to clear books by week's end — a mild late-week softening signal.

KEY SPREADS

INDEX	LEVEL	MOVE / DIRECTION	AS OF
iTraxx Europe Main 5yr	n/a — no current print found via open sources	—	—
iTraxx Europe Crossover 5yr	~315-320bp (STALE — mid-May 2026 reference; Series 45 tightened from 410bp in Oct 2025)	Not day-of; indicative/historical only	Mid-May 2026
CDX IG 5yr (USD)	n/a — no current print found via open sources	—	—
Avg euro corporate IG spread (OAS)	n/a — not found; US IG OAS cross-reference ~79bp, US HY OAS ~271-281bp, both historically tight near multi-decade lows	—	Early-mid Aug 2026 (US cross-ref only)

None of the index-level euro spread figures above could be confirmed as current for the 20-21 August window. Index-provider sites (S&P/IHS Markit, ICE) do not publish free real-time levels, and FRED was inaccessible in this session. Treat as last-known reference points only — a live terminal check is required before use.

COMMENTARY

Primary market tone is firmly "window open," notable given August is normally a dead month for European issuance — this week's volume is the busiest restart from summer on record. Issuer mix skews toward SSA (Finland's €4bn, book covered 2.75x) and corporate crossover/hybrid paper (Sika's €1bn hybrid, used to optimise rating treatment), with FIG represented via Mizuho and smaller niche financials such as AS LHV Group, rather than a heavy pure-industrials or transport wave in the confirmed names. Investor appetite looks strong at the SSA end and management teams are using hybrid structures to lock in still-historically-tight all-in spreads. The one caveat is a mild late-week softening signal from the US IG market, where issuers needed better pricing to clear books, plus the still-closed euro covered bond segment — suggesting the "wide open" window may be more selective by name than blanket. Recommend a live IFR/GlobalCapital/Bloomberg check given several data gaps in this section (research access to GlobalCapital, IFR and Bloomberg's full text was blocked this session; figures come from search-snippet summaries and issuer press releases).

10. ECONOMIC CALENDAR (TODAY, 21 AUGUST 2026)

TIME (BST)	REGION	INDICATOR	CONSENSUS	IMPORTANCE
~07:00	UK	Retail Sales, Great Britain (July, MoM)	No specific pre-release consensus figure confirmed; June print was +1.0% MoM vs –0.3% expected	HIGH
~08:00	Eurozone	HCOB/S&P Global Flash Composite PMI (Aug)	~51.6 (down from 52.0 in July)	HIGH
~09:30	UK	Flash Composite/Services/Manufacturing PMI (Aug)	Composite ~52.1 (vs 52.2 prior)	HIGH
~14:45	US	S&P Global Flash Composite/Manufacturing/Services PMI (Aug)	Composite expected to soften to 53.2 from 54.5 in July	HIGH
Overnight (released)	Japan	National CPI (July)	No consensus figure or print confirmed via open sources	MEDIUM

Today's calendar is dominated by the flash PMI round across the Eurozone, UK and US — the first major growth-momentum test since this week's bond-market and equity volatility, and consensus points to a mild softening in all three regions. No ECB, BoE or Fed policy decision or speaker event was confirmed for today. Note explicitly: the Jackson Hole Economic Symposium is **not** this week — it runs 27-29 August, with new Fed Chair Kevin Warsh delivering his first keynote as chair on Friday 28 August. The ECB next meets 10 September, the Fed's FOMC meets 18 September, and the BoE meets 19 September.

11. CORPORATE EVENTS & EARNINGS

COMPANY	MARKET	EVENT	TIME
Buckle Inc (NYSE: BKE)	US	Q2 (FY27) earnings, before market open; consensus ~\$0.81 EPS; management webcast	15:00 BST
US earnings aggregate	US	Roughly 18 companies scheduled to report per aggregator counts; no other large-cap name confirmed for today specifically via open sources	Fri 21 Aug
LSE announcements aggregate	UK	Roughly 40 announcements cited by aggregator counts; specific company names not confirmed via open sources (sites blocked). August is typically light post-H1-reporting-season for London blue chips	Fri 21 Aug
easyJet (LSE: EZJ)	UK	Apollo Global Management's £5.7bn (715p/share) board-recommended take-private remains live (rival bidder Castlelake withdrew 6 Aug); shareholder vote and regulatory clearances still pending, completion targeted Q1 2027. No specific vote/AGM date confirmed for today	Ongoing

Today's confirmed corporate slate is thin for named large-cap events, with detailed UK/European earnings-calendar access blocked in this research session. The more significant live catalysts remain read-through effects from this week's news flow: Walmart's weak US comps for European retail sentiment, the deepening chip-stock rout for equipment names, and the ongoing easyJet take-private process. DCM issuance for today specifically could not be confirmed (see Section 9).

12. STOCKS TO WATCH

easyJet (LSE: EZJ) — Aviation	Apollo's £5.7bn (715p/share) recommended take-private bid remains in play after rival Castlake withdrew on 6 August. Shares should continue trading close to the offer price pending the shareholder vote and regulatory clearances.	Bullish, event-driven
JD Sports Fashion (LSE: JD.) — Retail	Cut FY pre-tax profit guidance to £700-800m (from £750-850m) on 20 August after Q2 organic sales fell 1.3% (US -4.5%); shares fell roughly 10-15%, the biggest one-day drop in about nine months and the FTSE 100's biggest drag Thursday. Still digesting the news today.	Bearish
Rolls-Royce (LSE: RR.) / IAG (LSE: IAG) / Wizz Air (LSE: WIZZ) — Aviation & Aerospace	All three trade inversely with Iran-war/Strait-of-Hormuz oil-price headlines, jumping on ceasefire hope and falling on failed talks. Jet fuel spot price is up more than 120% since the conflict began (~\$1,800/tonne); Ryanair has separately cut Spain/Portugal capacity for the same reason.	Volatile, headline-sensitive
Crude tanker owners (Frontline, Hefnia and Euronav-linked names) — Shipping	Black Sea tanker rates hit a record \$440,948/day on drone attacks; the broader crude tanker market is at its best in two decades on the ongoing Hormuz crisis, which the IEA has called the largest supply disruption in the history of the global oil market.	Bullish
Antofagasta (LSE: ANTO) / Glencore (LSE: GLEN) / Rio Tinto / Anglo American — Metals & Mining	LME August/September copper spread hit its widest since the 2021 squeeze on tight supply; the sector has added \$246bn in market cap year-to-date (+24%). Chile's 2026 output guidance was cut ~2.6%. Spot copper itself eased slightly (-0.4%) on 20 August, a near-term pullback risk against the medium-term bullish supply story.	Mixed near-term, bullish medium-term
Gold and silver miners — Metals & Mining	Bullion trading above \$4,500/oz, its highest since early June, on rate-cut bets and the Treasury-buyback-driven drop in yields. Precious-metals equities should continue to track the move.	Bullish
BAE Systems (LSE: BA.) / Rheinmetall (ETR: RHM) / Chemring (LSE: CHG) / Babcock (LSE: BAB) / Leonardo — Aerospace & Defense	BAE Systems is up 29.85% YTD on a record order book (H1 sales +9%, EBIT +11%); Rheinmetall is guiding 15-25% 2026 revenue growth; Chemring holds a record £1,399.4m order book; Leonardo raised 2026 guidance and is eyeing further M&A. Driven by NATO's 5%-of-GDP-by-2035 and the UK's 2.5%-by-2027 spending commitments. Rheinmetall itself fell 1.7% on the DAX Thursday, a reminder the sector isn't immune to broad-market pullbacks.	Bullish, momentum-driven

**HSBC (LSE: HSBA) —
Banks**

Underperforming UK bank peers after a recent quarter hit by a \$2.1bn write-down tied to its Bank of Communications (China) stake plus restructuring costs under CEO Georges Elhedery, versus Barclays/Lloyds/NatWest's average ~38% YTD total return.

Bearish, laggard

**Shell (LSE: SHEL) / BP
(LSE: BP) — Energy**

Benefiting from Brent near \$93/bbl on Hormuz-driven supply disruption; Shell's Q2 adjusted profit more than doubled and its buyback continued (purchases confirmed 18 August).

Bullish

**Walmart (NYSE: WMT) /
Advance Auto Parts
(NYSE: AAP) — US Retail,
European read-through**

Carry-over volatility from Wednesday-Thursday earnings: Walmart beat EPS and raised guidance but fell ~9% on light US comps; Advance Auto Parts beat EPS but missed revenue and fell 16-24% on constrained consumer spending. Already hit Adidas (−2.7%) and Puma (−1.8%) on the DAX Thursday; likely to keep weighing on European retail sentiment today.

**Bearish, retail-
sector caution**

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

Treasury buyback: circuit-breaker, not a fix. Wednesday's announcement to double long-dated debt buybacks briefly rallied bonds, but the relief faded within a day — the 30-year yield ended Thursday roughly back at 5.25% and continued drifting higher into Friday's Asian session. Bloomberg's own framing ("at best a circuit breaker") captures the market's skeptical read.

Flash PMI test today. Eurozone, UK and US flash composite PMIs are all due today and all expected to soften modestly from July — the first major growth-momentum data point since this week's bond-market and equity volatility.

Fed pricing and Jackson Hole ahead. September Fed easing is priced at roughly 85% probability for a 25bp cut per one market summary. Next week's Jackson Hole symposium (27-29 August) will be the next major catalyst, with new Fed Chair Kevin Warsh delivering his first keynote as chair on 28 August.

Bessent's Iran plan due Monday. Treasury Secretary Bessent said he would detail a fuller economic-warfare plan against Iran on Monday 24 August — a fresh geopolitical/macro catalyst to watch into next week.

CORPORATE

Retail: Walmart's beat-and-raise quarter was overshadowed by the weakest US comparable-sales growth in about six years, sending shares down ~9% and hitting European retail read-through names (Adidas, Puma) directly. JD Sports cut FY guidance and fell 10-15%, the FTSE's biggest single-day drag Thursday.

Technology/semiconductors: Nvidia, AMD and Intel all fell sharply Thursday, with the Philadelphia Semiconductor Index posting its steepest three-day decline since March; the weakness spread into Friday's Asian session before SK Hynix's buyback plan provided some cushion.

DCM: Euro primary is enjoying its busiest post-summer restart on record (at least €38.3-38.5bn this week), led by Finland's €4bn SSA trade and Sika's €1bn hybrid bond, even as the euro covered bond segment remains shut for a seventh straight week.

Defense: BAE Systems, Rheinmetall, Chemring and Leonardo all continue to benefit from NATO and UK rearmament spending commitments, with record order books cited across the sector.

Energy and mining: Shell and BP continue to benefit from elevated oil prices tied to the Hormuz crisis; copper miners have added \$246bn in market cap year-to-date on tight supply even as spot copper eased modestly Thursday.

POLITICAL / GEOPOLITICAL

Iran "economic warfare" escalation: Trump threatened the "most crushing economic operation ever taken against any country" against Iran Thursday, with Bessent confirming a fuller plan will be detailed Monday. The Strait of Hormuz crisis remains unresolved, with the IEA describing it as the largest supply disruption in the history of the global oil market.

Shipping impact intensifying: Black Sea tanker rates hit a record \$440,948/day on drone attacks, and the broader crude tanker market is at its best level in two decades — a direct market consequence of the ongoing conflict.

Crypto policy clarity: the SEC's 18 August proposed crypto-rule clarity (a conditional safe harbour for token offerings) is cited as one driver of Bitcoin's surge past \$75,000, a notable policy-driven cross-asset development running alongside the geopolitical risk narrative.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. Flash PMIs across the Eurozone, UK and US

First major growth-momentum test since this week's bond and equity volatility; all three regions expected to soften modestly.

2. Does the European open follow Wall Street's reversal lower?

Thursday's US selloff (S&P -0.87%, Dow -1.32%, Nasdaq -1.0%) and firmer bond yields point to a soft European start.

3. Chip-sector stabilisation watch

Nvidia/AMD/Intel weakness bled into Asia overnight; SK Hynix's buyback cushioned Korean names but ASML/ASMI/BESI sentiment remains fragile.

4. UK July retail sales, ~07:00 BST

First scheduled data point of the day, ahead of the UK flash PMI at 09:30.

5. Oil/Iran headline risk into the weekend

Bessent's fuller economic-warfare plan is due Monday; any fresh escalation or de-escalation headline can move oil and risk sentiment sharply today.

THIS WEEK'S TOP 5

1. Bessent's Iran economic-warfare plan, Monday 24 August

Fresh detail on the administration's approach, a swing factor for oil and risk sentiment into next week.

2. Positioning into Jackson Hole (27-29 August)

Markets begin pricing Chair Warsh's first keynote address, due Friday 28 August.

3. Does the record euro DCM pace continue?

This week's ~€38.3-38.5bn supply is the busiest post-summer restart on record; watch for continuation into next week, especially covered bonds.

4. Bitcoin's sustainability above \$75,000

Best weekly gain since March 2024 if it holds; a notable divergence from the equity/bond risk-off tone worth tracking.

5. easyJet take-private progress

Apollo's £5.7bn bid awaits the shareholder vote and regulatory clearances, targeting Q1 2027 completion.

THIS MONTH'S TOP 5

1. Jackson Hole Economic Symposium, 27-29 August

Kevin Warsh's first keynote as Fed Chair, Friday 28 August, theme "Financial Innovation."

2. Strait of Hormuz / Iran conflict trajectory

IEA calls it the largest supply disruption in the history of the global oil market; Trump's escalating rhetoric and Bessent's Monday plan raise the stakes further.

3. September central-bank triple header

ECB (10 Sept), Fed FOMC (18 Sept) and BoE (19 Sept) all face a live policy debate given this week's yield volatility.

4. Treasury buyback programme, effective 9 September-4 November

Whether the doubled buyback programme durably caps long-end yields once operations actually begin remains an open question after this week's fade.

5. Euro covered bond market reopening

Expected within the next two weeks after a seven-week shutout, the next leg of the broader September DCM supply wave.

15. KEY TRENDS TO WATCH

1 DAY

Flash PMIs across the Eurozone (08:00), UK (09:30) and US (14:45 BST) — the session's main scheduled data.

Does Thursday's Wall Street reversal carry into Europe? Watch the cash open for confirmation or a partial fade of the soft futures indication.

Chip-sector price action in early European trade — whether ASML/ASMI/BESI track the overnight Intel/AMD/Nvidia weakness or the SK Hynix-led Korean cushion.

Oil/Iran headline risk ahead of Bessent's Monday economic-warfare plan reveal.

1 WEEK

Monday 24 August: Bessent's fuller Iran economic-warfare plan.

Ongoing: euro DCM's record post-summer pace — watch for the first covered bond print after a seven-week shutout.

Ongoing: chip-sector stabilisation watch after the Philadelphia Semiconductor Index's steepest three-day decline since March.

Building into the weekend: positioning ahead of next week's Jackson Hole symposium (27-29 August).

1 MONTH

27-29 August: Jackson Hole Economic Symposium, with Chair Warsh's first keynote on 28 August.

9 September-4 November: Treasury's doubled long-bond buyback operations run, a live test of whether the programme durably caps yields after this week's rally faded quickly.

10, 18 and 19 September: ECB, Fed FOMC and BoE decisions respectively — all three face a live policy debate given this week's yield and equity volatility.

Ongoing: the Strait of Hormuz/Iran conflict, freshly escalated by Trump's rhetoric and Bessent's forthcoming plan, remains the dominant macro tail risk through the month; the euro DCM's record week builds toward a broader September supply wave.

SOURCES

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- CNBC / Energy Connects — Iran rhetoric, oil-price moves
- 24/7 Wall St / Intellectia.ai / Korea Economic Daily / KED Global — chip-stock selloff, SK Hynix buyback
- Bloomberg / CCN / Yahoo Finance — Bitcoin rally past \$75,000
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- Trading Economics / Investing.com / MarketScreener / 24/7 Wall St — European index closes (DAX, CAC 40, FTSE 100, Stoxx 600)
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- Trading Economics / CNBC / fxstreet.com / fxempire.com — US 10Y/30Y Treasury yields, German Bund yield, EUR/USD, GBP/USD, DXY
- Bloomberg (search-snippet access; direct fetch blocked) / GlobeNewswire / treasuryfinland.fi / Milbank / Paul Weiss — euro DCM issuance (Finland, Sika, Mizuho, Fedrigoni, AS LHV Group)
- Convextrade.com — US IG/HY OAS cross-reference figures
- Orbex / S&P Global PMI preview commentary / MTS Insights / Finlogix / ONS — economic calendar (flash PMIs, UK retail sales)
- Kansas City Fed / Regards of Wallstreet / Riviera Wealth Management — Jackson Hole 2026 dates and Chair Warsh's keynote
- MarketBeat / Barchart / TradingView — Buckle Inc earnings schedule
- IG UK / Yahoo Finance UK / easyJet IR — easyJet Apollo take-private status
- Share-Talk / Drapers / Business Recorder / Investing.com — JD Sports guidance cut
- Proactive Investors / Rigzone / Bloomberg / Lloyd's List — aviation and shipping sector context
- Mining.com / Trading Economics — copper and mining-sector context
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- AskTraders / ad-hoc-news.de — Shell, BP context
- Vantage Markets / StockStory / Yahoo Finance — Walmart, Advance Auto Parts read-through

Data collected automatically between approximately 05:20 and 06:45 BST on 21 August 2026 via open web search, run across three parallel research passes. Direct WebFetch access to a number of primary sources (Bloomberg, GlobalCapital, IFR, Trading Economics, CNBC, TradingKey, Asia Business Daily, FRED) was blocked or limited throughout this session; figures from those sources come from search-engine snippet summaries rather than direct page reads, and several search results showed genuine cross-source disagreement or apparent date-blurring across the Wed/Thu/Fri sessions. A number of figures are marked n/a, given as source ranges, or explicitly flagged as unverified — this applies in particular to today's European and US futures levels, Friday-morning Hang Seng/Shanghai levels, the exact CAC 40 and Euro Stoxx 50 Thursday closing points, current-day DCM index spread levels, and Henry Hub natural gas. Verify all figures against a live terminal before making any decision. This document is not investment advice.